WAVERLEY GATEWAY GUIDE

Connecting International Capital

MONTSERRAT

Caribbean

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Brades and the northern settled zone	De facto administrative centre of this British Overseas Territory, home to the Premier's Office, government ministries and most of the island's population of around 5,000	Public services, banking, professional services, retail
Little Bay	Site of the new offshore jetty, berth and access road funded by a £33.4 million UK Caribbean Infrastructure Fund grant, with construction completion scheduled for September 2026	Port logistics, marine services, cargo and passenger transport
New National Hospital	EC$102.8 million main hospital (75,000 sq ft) under construction since 2025 and expected to reach practical completion in 2026/27	Healthcare, construction, facilities management
John A. Osborne Airport (Gerald's)	The island's air gateway, served by Twin Otter services; a new air traffic control tower is part of plans to restore night flights	Aviation, air services, tourism logistics
Geothermal exploration wells	Existing wells offer an estimated 1–2 MW, against a wider geothermal potential of 30–50 MW; research has also found rubidium, caesium and gold in geothermal fluids	Geothermal power, energy services, mineral research
Plymouth and Zone V (south)	The former capital, buried by volcanic deposits, is a distinctive geotourism attraction, and volcanic sand and aggregate are mined there for export	Aggregates, geotourism, research, managed agriculture
Bunkum Bay fibre landing	Landing point of the submarine fibre-optic cable, installed in 2020, which links Montserrat to the regional network between Guadeloupe and Antigua	Digital services, telecoms, remote work

INVESTOR ENTRY ROUTES

- Direct engagement with the Government of Montserrat through the Office of the Premier and Ministry of Finance and Economic Management, which runs a 2026/27 capital programme of EC$162.2 million

- Donor-funded public procurement: capital works are financed mainly by the UK (FCDO and the UK Caribbean Infrastructure Fund), the EU and the Caribbean Development Bank, with contracts open to regional and international firms
- Company registration under the Companies Regulations 2024, with the Financial Services Commission overseeing financial regulation and compliance
- Micro and Small Business Act incentives: up to five years' income tax exemption, import duty and consumption tax waivers on equipment and building materials, and stamp duty relief for qualifying businesses
- Membership of the Eastern Caribbean Currency Union: the EC dollar has been pegged at EC$2.70 to US$1 since 1976, under the Eastern Caribbean Central Bank
- Energy-sector entry through Montserrat Utilities Ltd and government renewable programmes, supported by geothermal legislation passed in 2023 and a planned 2 MW solar expansion
- English common law framework under a stable constitutional relationship with the United Kingdom

MARKET-ENTRY OBSERVATION

Montserrat in October 2026 is in a sustained construction-led expansion. According to the Eastern Caribbean Central Bank, real GDP grew 5.5% in 2025, following 4.4% in 2024 and 7.3% in 2023, comfortably above the island's long-run average of 2.4%; growth of 3.0% is projected for 2026 and 2.2% for 2027. Public finances are exceptionally conservative, with public debt at about 2.9% of GDP in 2024, inflation of 2.9% and a primary surplus of 2.9% of GDP forecast for 2026 and 2027. The 2026/27 budget of EC$345.95 million includes EC$162.2 million of capital spending, funded mainly by the UK, the EU and the Caribbean Development Bank, for a pipeline that includes the Little Bay port, the New National Hospital and utility upgrades. Foreign direct investment was 4.4% of GDP in 2024, supported by this infrastructure programme.

Montserrat's main structural challenge is scale and access, a legacy of the Soufrière Hills eruptions that began in 1995 and led to the evacuation of about two-thirds of the island. The population, around 10,500 before the eruption, has recovered to about 5,000, and air and sea links remain limited and relatively costly. The volcano has not erupted since 2010 and is continuously monitored by the Montserrat Volcano Observatory, which supports clear land-use zoning for investors. The government is tackling access directly, with the new Little Bay port, a new air traffic control tower and renewed ferry procurement. The same geology also offers opportunity: volcanic sand and aggregate exports, geothermal power that could reduce electricity costs of about $0.50 per kWh, and a growing geotourism and research niche anchored by the buried former capital of Plymouth.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Air and sea access	Scheduled air services operate with small aircraft under capacity limits and fares are relatively high, while sea access depends on an ageing port	The Little Bay port, the new control tower and ferry procurement are improving access, creating openings for transport and logistics operators
Volcanic hazard	The Soufrière Hills volcano has not erupted since 2010 but remains under active monitoring, with the south of the island zoned for restricted use	Base site selection on Montserrat Volcano Observatory zoning and hazard data; the same geology supports geothermal, aggregates and geotourism
Small domestic market	With around 5,000 residents, local demand alone supports only niche-scale ventures	Use CARICOM, OECS and diaspora channels to reach wider markets, and focus on export-ready or high-value niches
High electricity costs	Power costs about $0.50 per kWh and relies on imported diesel, costing about $5.5 million a year	Solar, battery storage and geothermal development offer investment opportunities and a route to lower operating costs
Project delivery capacity	Major projects have faced delays; Little Bay port works were suspended in 2024 before a new agreement restarted them in September 2025	Engage through Caribbean Development Bank-administered programmes and partner with contractors experienced in donor-funded projects

Issue	Potential Impact	Possible Mitigation
Reliance on external grants	Grants were equivalent to 65.9% of GDP in 2024, with the UK providing most capital funding	The UK relationship provides predictable funding and low public debt, giving investors a stable fiscal backdrop
Limited local credit	Private sector credit fell 4.7% in 2024 and is concentrated in household lending, though banks are highly liquid	Bring external finance, and use Caribbean Development Bank and Eastern Caribbean partial credit guarantee products where eligible

INVESTOR RISK NOTE

Montserrat's risk profile combines strong macro-fiscal stability with the practical constraints of a small island. As a British Overseas Territory using the EC dollar, pegged to the US dollar since 1976, with public debt of around 2.9% of GDP and steady UK, EU and Caribbean Development Bank funding for capital works, the island offers a predictable legal and financial environment under English common law. The principal considerations are physical: access by air and sea, the cost of electricity and the presence of an active but closely monitored volcano. Each is being addressed through funded projects, including the new port, energy upgrades and continuous scientific monitoring that underpins clear zoning. The 2024 port suspension and its 2025 restart show that delivery timelines can move, so investors should build schedule contingency into projects linked to public infrastructure, while recognising that the pipeline itself is well funded and progressing.

MARKET ACCESS

Montserrat is a full member of both CARICOM and the Organisation of Eastern Caribbean States (OECS), and a member of the Eastern Caribbean Currency Union, giving businesses a shared currency and central bank with seven other Eastern Caribbean economies and access to regional integration arrangements. As a British Overseas Territory, it benefits from close ties with the United Kingdom, its main development partner, while the EU and the Caribbean Development Bank also fund its capital programme. Merchandise exports are modest and led by volcanic sand and aggregate for regional construction, while tourism earned travel receipts equivalent to 10.8% of GDP in 2024. A submarine fibre-optic connection links the island to regional networks, and the new Little Bay port will strengthen cargo and passenger links with Antigua and the wider region.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Premier and Ministry of Finance and Economic Management (Premier Reuben T. Meade)	Sets economic policy and the budget, and leads the 2026/27 reform and development agenda	Primary reference point for strategic projects and investment proposals
Governor's Office (Governor Harriet Cross) and UK FCDO	Represents the UK Government, Montserrat's principal funder, which provides most of the capital programme	Key relationship for understanding UK-funded priorities and the constitutional framework
Ministry of Trade	Administers small business incentives, export-readiness support and the Produced in Montserrat Expo (PRIME)	First contact for incentive applications and local partnerships
Caribbean Development Bank	Administers the UK Caribbean Infrastructure Fund, including the port grant, and provides its own financing	Central channel for donor-funded tenders and co-financing
Eastern Caribbean Central Bank	Monetary authority for the ECCU; maintains the EC dollar peg and supervises banks	Relevant for currency, banking and financial-sector matters
Montserrat Utilities Ltd	State utility for electricity and water, managing the island's solar, battery and diesel generation	Key counterpart for renewable energy, storage and geothermal investment
Montserrat Volcano Observatory	Monitors the Soufrière Hills volcano and provides the hazard assessments that	Essential source of site-risk information and partner for geotourism and research

Actor	Why It Matters	Waverley Engagement Angle
	underpin land-use zoning	

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Montserrat Chamber of Commerce represents local business, and the Montserrat Business Awards and the government-run Produced in Montserrat Expo (PRIME) provide visible platforms for meeting local enterprises and producers. The locally based Bank of Montserrat reported a year of growth in 2025, while the Eastern Caribbean Partial Credit Guarantee Corporation offers loan guarantees for smaller businesses. Among development partners, the UK FCDO, the European Union and the Caribbean Development Bank finance most capital projects and are useful sources of insight on the procurement pipeline. Research partnerships, including University of Oxford-linked work on volcanic risk and the RESET geothermal-minerals project, offer a further channel for investors interested in energy and scientific tourism.

INVESTOR PROFILE BEST SUITED

Montserrat suits focused, niche investors who value stability and early positioning: construction, engineering and marine contractors able to compete for UK-, EU- and CDB-funded tenders; renewable energy and storage developers, including those with geothermal expertise; boutique hospitality, dive and eco-tourism operators building on the island's unique volcanic landscape and planned geopark; and aggregates and building-materials firms supplying regional construction markets. Diaspora entrepreneurs and small businesses can benefit from the Micro and Small Business Act incentives, while digital and remote-service businesses can use the island's fibre connectivity.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Premier's Office and Ministry of Finance
Open dialogue on priorities in the 2026/27 capital programme and on the scope for private participation in major projects.

STEP 2: Track donor-funded procurement
Monitor tenders financed by the UK, the EU and the Caribbean Development Bank, including follow-on works linked to the port and hospital.

STEP 3: Assess energy opportunities with Montserrat Utilities Ltd
Explore solar, storage and geothermal partnerships that would lower electricity costs and reduce diesel imports.

STEP 4: Use local incentive and registration frameworks
Register under the Companies Regulations 2024 and apply through the Ministry of Trade for Micro and Small Business Act concessions where eligible.

STEP 5: Build access and hazard planning into project design
Use Montserrat Volcano Observatory zoning for site selection and plan logistics around the new Little Bay port and current air services.